



Investment Guide

The path of least resistance

CIO House View
NOVEMBER 2025



The path of least resistance

In nature, water finds its way downhill, effortlessly, following the path of least resistance. Investors seem to be doing much the same. Rather than fighting the current, they are flowing with it, carried by the powerful tide of artificial intelligence (AI) enthusiasm and a more resilient macro environment than expected. The story of 2025 so far is one of remarkable resilience. Equities have extended their gains year-to-date in October, led by the technology heavyweights that dominate the AI narrative. Investors, equipped with optimism and liquidity, appear convinced that innovation will outrun valuation risks and cyclical slowdowns.

Macroeconomic conditions, too, have cooperated. Inflation is moderating further, labor markets are softening without breaking, and central banks stand ready to intervene if needed. Interest rates and yields have edged lower, credit spreads remain historically tight, and volatility has returned to subdued levels. With few immediate threats to the risk-on mood, the easiest trade, psychologically and mechanically, has simply been to invest.

Yet this effortless ascent carries its own irony. The path of least resistance can, at times, lead straight into complacency. AI has become both the engine and the excuse, a catch-all narrative that smooths over every bump in the road. Financial markets, supported by the promise of exponential technological progress, may be underestimating how quickly sentiment can shift once reality starts to demand proof of profits rather than promises.

For now, gravity still seems to work in reverse. The financial market keeps climbing, driven higher not only by fundamentals but by faith in technology, in policy pragmatism by central banks and governments, and in the idea that the easiest path remains the right one. Still, it may be prudent to pause and look around. Staying invested remains key and prudent advice but so is reassessing portfolio structure. Diversifying beyond the AI theme may prove the wiser route, not out of skepticism toward AI, but to ensure balance and resilience.

Enjoy the read.

Best regards,



Gzim Hasani

CEO



Bekim Laski, CFA

Chief Investment Officer

Global Economy

- Despite elevated uncertainties, global growth is expected to stay positive.
- The US Federal Reserve has embarked on an easing cycle as weakness in labor market is outweighing inflation concerns.
- Europe and Switzerland are adjusting well, although domestic activity remains subdued.

Trade frictions, easy money, and the AI boost

The global economy has shown unexpected resilience this year despite persistent headwinds. Robust household demand, fiscal support in advanced economies, and surging investment in artificial intelligence infrastructure have offset the drag from trade frictions, softer manufacturing, and ongoing geopolitical tensions. In the US, capital spending on data centers has nearly matched that on office buildings in dollar terms, highlighting the scale of this structural transformation.

According to theory, US tariffs should raise US import prices, reduce trade volumes, and weigh on real incomes worldwide. Yet, the opposite has occurred so far. Trade flows and goods production have accelerated, global goods inflation has firmed, and US inflation has remained contained. The reason for that is that earlier this year, consumers and businesses front-loaded orders and production in anticipation of tariffs, fueling an inventory buildup that temporarily boosted industrial output and trade volumes. Now that tariffs are taking effect, this earlier surge could give way to a phase of slower growth or mild contraction.

Many US firms have prioritized cost control and market share over price increases, which puts pressure on smaller companies that are unable to absorb higher costs. While the ongoing US government shutdown has halted key economic data releases, signs of a weakening labor market and milder inflation give the Fed confidence to move forward with rate cuts.

Nonetheless, the overall outlook remains cautiously constructive. US households and firms are likely to benefit from new tax cuts and credits, while countries such as Germany, China, and Japan continue to implement targeted fiscal stimulus, infrastructure programs, defense spending, and tax reductions. These measures should help offset part of the drag from US trade policy and support global growth into 2026.

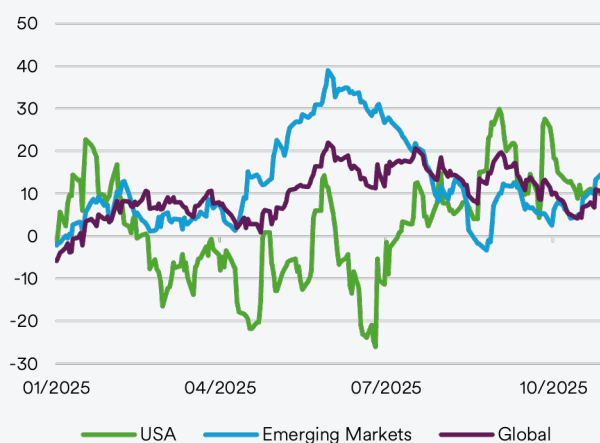
Business activity accelerates in October

Indeed, although the ongoing US government shutdown has disrupted official data releases, private-sector surveys indicate that US business activity accelerated in October. The euro area also delivered a positive surprise driven by robust services demand, while manufacturing returned to expansion territory.

Swiss economy near stagnation in the second half of 2025

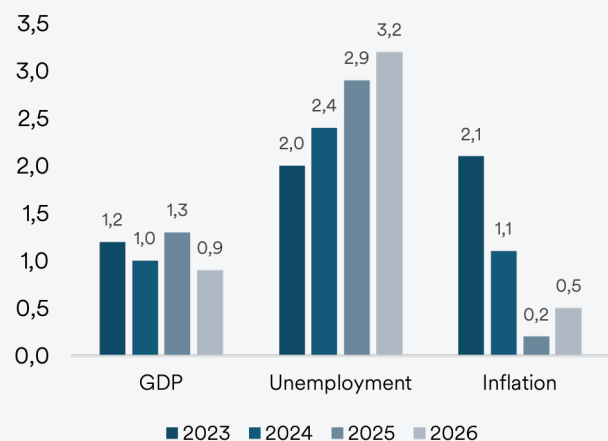
Switzerland's economic outlook remains subdued amid persistent tariffs, a strong franc, and soft external demand. The latest projections from the State Secretariat for Economic Affairs (SECO) confirm below-average GDP growth of 1.3% for 2025 while expectations for 2026 were revised down to 0.9% (June forecast: 1.2%). Forecasts for a gradual uptick in unemployment remain unchanged.

Fig.1: Economic data better than consensus expectations
Citi Economic Surprise Indices for key regions



Note: The Citigroup Economic Surprise Indices measure how actual economic data releases compare to consensus forecasts by economists.
Source: Bloomberg, smzh ag. 28/10/2025

Fig.2: Economic forecasts for Switzerland in %



Source: SECO, smzh ag. 16/10/2025

Fixed Income

- The fundamentals for investment-grade bonds remain solid, as no significant deterioration in credit quality is expected.
- Quality high-yield and emerging market bonds offer reasonable total return opportunities despite low credit spreads.
- Private debt and real estate investments are attractive alternatives to bonds.

Fed's easing cycle has shifted market dynamics

Fixed income markets delivered another month of robust returns in October, extending year-to-date gains. Yield on government bonds, especially in the US, fell across maturities amid expectations of Fed rate cuts, resulting in capital gains for investors.

In the corporate bond segments, credit spreads, which represent the yield premium over government bonds, widened modestly in October in high yield and lower-rated segments. Several US corporate defaults made headlines mid-month, but these events were mainly company-specific rather than signs of systemic risk. As long as there is no major economic downturn, overall default rates are expected to stay moderate.

Having said that, investment grade spreads remain historically tight. These multi-decade-low spreads suggest that valuations are no longer cheap and may face widening risks ahead. However, strong investor demand, solid corporate balance sheets, and relatively limited new debt issuance continue to make these credit sectors attractive sources of income for portfolios. The Fed's gradual easing cycle, with further rate cuts anticipated into mid-2026, continues to support global fixed income markets.

Emerging market debt continued to outperform, particularly local currency bonds, supported by high income, stable inflation, and strong currencies as investors increasingly diversify away from the US dollar. Despite a recent spread widening, fundamentals and limited new issuance provide ongoing support to credit markets.

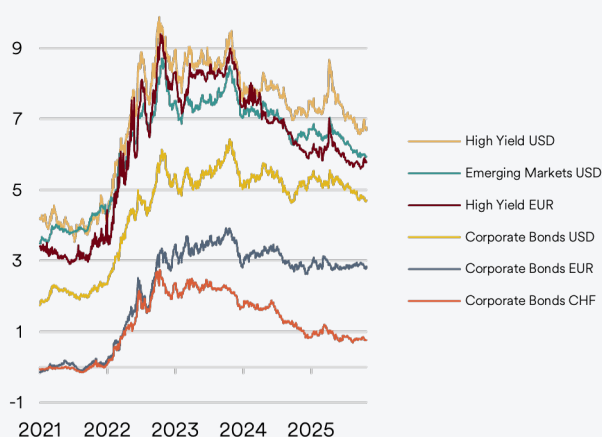
Strategies for Swiss investors amid low CHF yields

For low-interest-rate regions such as Switzerland, government bonds do not really look appealing. Ongoing challenges to Swiss economic growth and subdued inflation are expected to keep Swiss government bond yields at low levels. For Swiss investors, a combination of investment-grade bonds, high-quality high-yield bonds, and selected emerging market bonds remains attractive despite elevated currency hedging costs of around 4.1% and 2.2% for USD/CHF and EUR/CHF, respectively.

For investors who can tolerate illiquidity risks, alternative opportunities in private credit, private equity, real estate and other non-correlating asset classes remain attractive.

Fig.3: Current yields in selected bond markets

Yield-to-worst in %

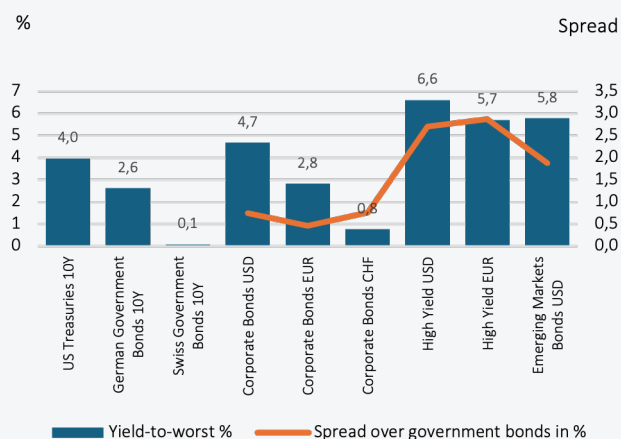


Source: Bloomberg, smzh ag. 29/10/2025

Past performance is no indication of future results.

Fig.4: Comparison of major bond markets

Current yield and credit spreads in %



Source: Bloomberg, smzh ag. 29/10/2025

Past performance is no indication of future results.

Equities

- In most regions, equity market valuations are no longer cheap. Diversification away from the AI theme looks prudent.
- Tailwinds for European and emerging market equities remain intact despite ongoing challenges from US trade policies.
- Swiss equities provide stability but lag global peers due to low exposure in the IT sector. Income strategies like defensive dividends look particularly attractive.

Equities soar on strong earnings and Fed optimism

Global equity markets have continued their resilient ascent through October, reaching new all-time highs in many regions. Emerging markets, Japan and US technology equities led the rally, buoyed by strong corporate earnings and easing monetary policy expectations. Earnings releases for the third quarter so far have again beaten consensus forecasts substantially, especially in the US, supporting the positive sentiment. In addition, while US macroeconomic data releases are limited and somewhat uncertain during the ongoing government shut-down, inflation data for September came in lower than feared, reinforcing market expectations that the US Federal Reserve will proceed with its ongoing cycle of rate cuts into 2026. The Fed's easing cycle has fundamentally shifted market dynamics.

More broadly, the global economy has proven more resilient to tariffs than feared, thanks also to robust consumer demand. The additional anticipated Fed rate cuts and supportive fiscal stimulus policies across many regions globally are supporting the positive environment, despite valuation concerns. For equity investors, the main question is whether the Fed's decision to resume interest rate cuts means the economy is heading toward a recession or not. This distinction is important as history shows that when the Fed lowers rates while the economy is still growing, equity markets often have room to rise further.

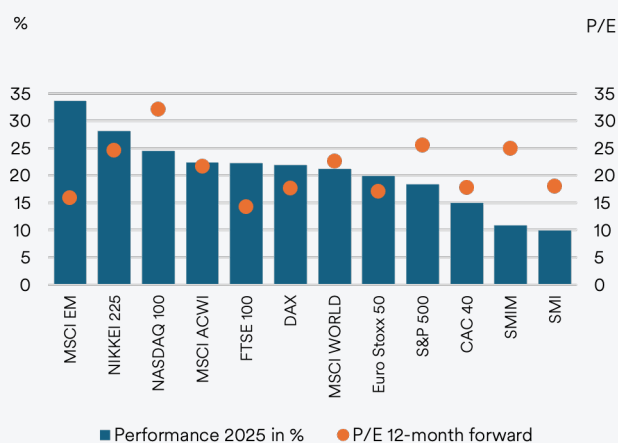
Given the strong performance that has led equity markets to trade at elevated valuation levels while uncertainties persist, a healthy correction may be overdue. At the same time, valuations are affected by several factors such as economic growth, inflation, real interest rates, payout ratios and, most importantly, earnings growth. As such, a historical comparison of valuations also requires a thorough assessment of these underlying drivers. The resilience of the global economy, stable corporate earnings, supportive interest rate dynamics, and continued fiscal support all underpin a compelling case for staying invested. After a significant rise in equity market valuations, earnings growth is expected to be the key driver for price appreciation going forward, which will naturally limit the upside in the near term.

Positioning beyond the AI mega-cap concentration

While the US market continues to serve as the global growth engine, a more valuation-aware approach appears warranted. The seven largest US companies, known as the “Magnificent Seven”, now account for around 37% of the total market capitalization of the S&P 500 index and about 22% of the global equity index MSCI ACWI. These record-high levels increase market concentration and amplify idiosyncratic risks. For growth-oriented investors, this may be an opportunity to trim exposure to the AI sector while adding diversification strategies such as equal-weighted indices, low-volatility approaches, or international exposure.

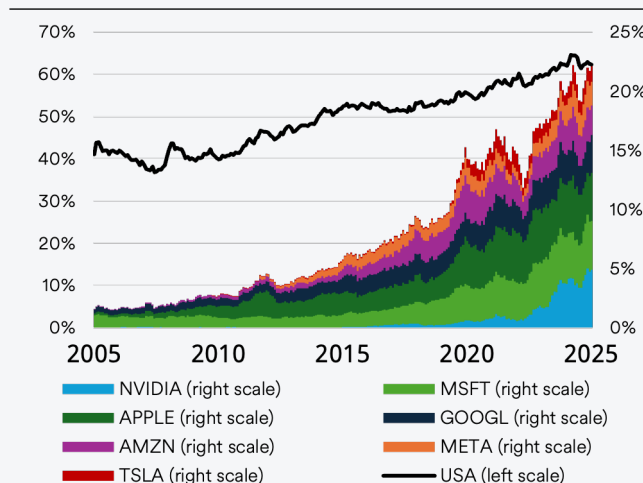
Equity market valuations remain the key concern

Fig.5: Major equity markets in local currency, total return
2025-year-to-date returns and 12-month forward P/E ratios



Source: Bloomberg, smzh ag. 28/10/2025
Past performance is no indication of future results.

Fig.6: Growing dominance of AI-related companies
Weight in MSCI All Country World Index (MSCI ACWI)



Source: Bloomberg, smzh ag. 27/10/2025
Past performance is no indication of future results.

Special topic: Diversifying beyond AI

- Investments in AI infrastructure have triggered one of the largest capital expenditure booms in recent history.
- Despite justified enthusiasm, surging valuations and concentrated market exposure are raising concerns.
- Diversification strategies such as equal-weighted indices, low-volatility approaches, or international exposure become increasingly important alternatives to enhance portfolio resilience.

AI sparks historic investment wave

Investments in AI infrastructure represent one of the largest capital expenditure waves in recent history, driven by the soaring need for computing power, specialized chips, extensive data centers, and high-speed networks. Tech giants are committing billions to build AI-optimized facilities, while governments are pushing the expansion of digital infrastructure. In the US, spending on data centers now rivals that on office buildings, underlining the structural scale of this transformation.

Since ChatGPT's debut in 2022, Nvidia has become the symbol of this boom, but other companies across the AI value chain have also strengthened their market positions and rewarded shareholders generously.

Is it a new bubble?

Surging equity prices of AI-related companies raise the question of whether fundamentals still justify valuations. Indeed, there are some parallels to the Dotcom era in 1999, particularly in the high concentration of market returns among few leaders. Yet there are key differences: today's dominant innovators, the "Magnificent Seven" (Alphabet, Amazon, Apple, Meta, Microsoft, Nvidia, and Tesla), are far more profitable and mature than many unprofitable Dotcom names once were. Moreover, their valuation metrics, typically price-to-earnings ratios of 25–35x, remain well below the lofty levels seen in 1999–2000.

Silent concentration risks

Nevertheless, the risk of excessive concentration is real. The extraordinary rally of large tech and semiconductor stocks has made many seemingly diversified portfolios heavily exposed to the same growth drivers. Standard market-cap-weighted indices like the S&P 500 now reflect a dominant tilt toward AI-related mega caps, creating hidden bulk risks.

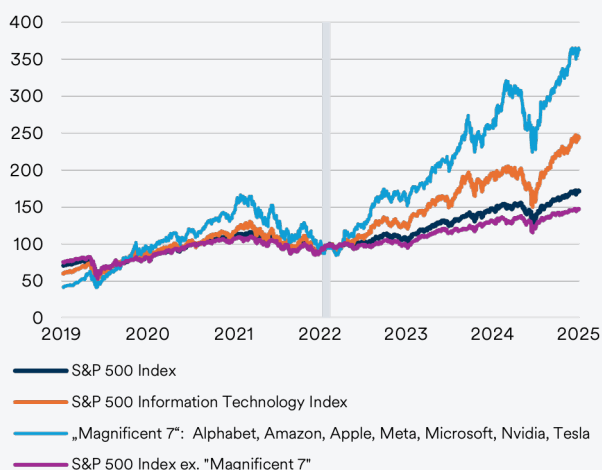
For investors, this means that exposure to the US equity market often implicitly depends on the performance of a handful of firms, amplifying volatility should momentum fade. Regular portfolio review has become increasingly important, not out of skepticism toward AI, but to ensure balance and resilience.

Paths to broader participation

Although consensus does not foresee a decline in Magnificent Seven earnings, growth momentum is expected to moderate. Meanwhile, earnings contributions are gradually broadening beyond these few leaders, strengthening the case for active diversification. Alternatives such as equal-weighted S&P 500 strategies, low-volatility approaches, or international diversification can help investors capture a wider opportunity set and reduce dependency on a narrow group of market drivers.

AI will remain a key growth theme, but diversified returns may increasingly come from expanding beyond it.

Fig.7: Rising dominance of the "Magnificent Seven"
Indexed at 100 as of 30.11.2022, the launch of ChatGPT



Source: Bloomberg, smzh ag. 27/10/2025
Past performance is no indication of future results.

Fig.8: Alternative indices to S&P 500 Index
Indexed at 100 as of 1.1.2010



Source: Bloomberg, smzh ag. 27/10/2025
Past performance is no indication of future results.

Currencies and Gold

- Ongoing trend of international diversification away from the US dollar is weighing on the currency.
- The Swiss franc is caught between expensive valuations and its safe-haven status.
- Gold remains an attractive portfolio diversifier.

US dollar has stabilized but remains vulnerable

The US dollar has steadied after sharp year-to-date declines, but its recovery remains fragile and uneven, with continued vulnerability to further downside risks. Mounting concerns about the US current account and budget deficits, uncertainties surrounding the future Fed chair, and upcoming rate cuts, even as inflation stays sticky, all contribute to a challenging environment for the currency. As a result, the ongoing trend of international diversification away from the dollar could put further downward pressure on the currency. Investors holding excess USD may therefore still want to consider reducing or hedging their exposure.

Don't fight the Fed, but what about the SNB?

The Swiss franc has continued its gradual appreciation and approached the level of 0.92 against the euro late October, the lowest level since the 2015 shock when the SNB unexpectedly abandoned the minimum exchange rate of 1.20. The franc has been supported by renewed concerns over US-China trade tensions, political uncertainties in France, and some stress in the US regional banking sector. This has reinforced the franc's status as a preferred safe haven in currency and capital markets.

It remains common wisdom that if the franc continues to appreciate sharply, the SNB would first intervene in the forex market before reintroducing negative interest rates. However, unlike the US Fed or the ECB, the SNB's ability to influence

markets is limited. The franc's strength reflects broad demand for safe assets amid US dollar weakness. Therefore, while the SNB's intervention could weaken the franc somewhat, it is expected to remain firm versus both the euro and the dollar.

Gold remains an attractive portfolio diversifier

Gold experienced a notable correction in late October after an exceptionally fast and strong rally. The pullback was largely driven by profit-taking, reflecting a natural technical reset after such a rapid advance. This healthy consolidation may provide a foundation for further upside as underlying demand drivers persist. Central banks continue to accumulate gold, and investment demand remains also robust despite elevated prices. Although gold is known for its volatility, lack of income generation, and mixed performance as an inflation hedge, investors are rightly considering its role in portfolios in the current market environment. Weakening global growth, lower interest rates, worries over the independence of the US central bank, and persistent geopolitical risks continue to support the metal.

Having said this, investors need to be aware that during phases of market stress, gold can also suffer sizeable declines when investors seize the opportunity to realize profits or meet liquidity demand as happened in late October.

Fig.9: CHF against the EUR and USD in 2025

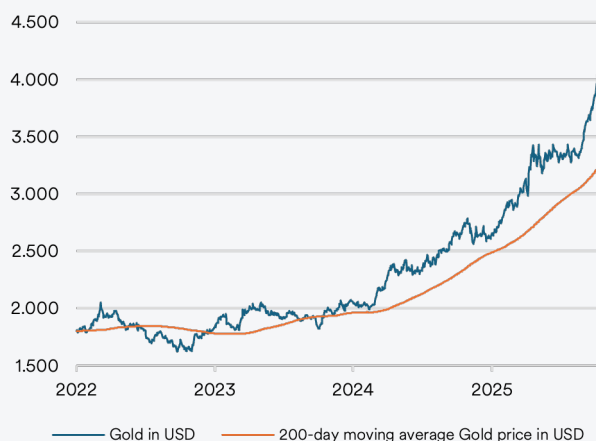
Indexed at 100 as of 1.1.2025



Source: Bloomberg, smzh ag. 29/10/2025
Past performance is no indication of future results.

Fig.10: Gold price correction driven by profit-taking

Price of gold in USD and its 200-day moving average



Note: The 200-day moving average smooths long-term price trends and serves as a major support or resistance level in traditional chart analysis.
Source: Bloomberg, smzh ag. 27/10/2025
Past performance is no indication of future results.

Cryptocurrencies

- The cryptocurrency market has overcome the largest liquidation event in its history without lasting damage.
- Despite a partial recovery, Bitcoin remains in a volatile sideways trend with no clear direction.
- Interest rate cuts could support ETF inflows but are unlikely to trigger a meaningful renewed uptrend for now.

Cryptocurrencies still react sensitively to any Trump trade rhetorics

Over the weekend of October 10, 2025, renewed tariff threats by Donald Trump against China triggered a crash in the cryptocurrency market. The price of Bitcoin temporarily dropped by about 17 percent, from around USD 122,000 to just over USD 102,000. Altcoins also suffered heavy losses. While losses for major altcoins such as Ethereum (ETH) and Binance Coin (BNB) remained moderate, smaller but more reputable altcoins plunged much more sharply, with losses of up to 50% or more. Since then, the market has partially recovered, though some altcoins remain under strain.

Within 24 hours, the market witnessed forced liquidations amounting to approximately USD 19 billion, the highest value ever recorded in the history of the crypto market. The last time liquidations of similar magnitude occurred was in April and May 2021, although at that time the volume was only about half as sizable. The data covers all leveraged positions in derivatives and margin trades across all major exchanges, including Binance, OKX, and Bybit.

A stress test for the crypto market

The crash yet again demonstrates the inherent risks of the crypto market, particularly for highly leveraged traders, whose positions are liquidated rapidly in phases of volatility spikes. The crypto market, which is open round the clock, has always been prone to disproportionate spikes beyond conventional

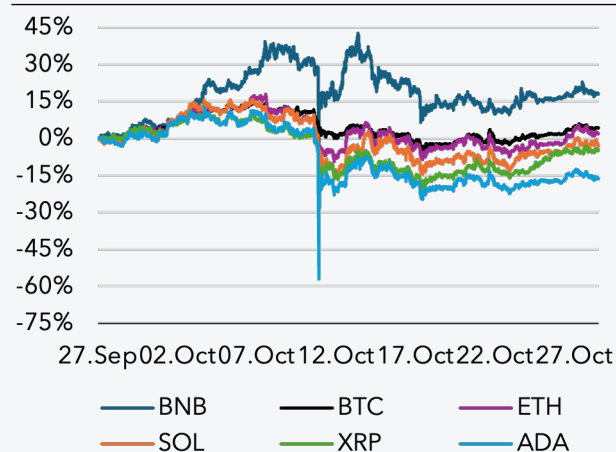
trading hours, particularly on weekends. The most recent event also shows, however, how deep and resistant the market has become: Despite record liquidations, there were no systemic disruptions and no lasting price distortions. Moreover, the rapid recovery of the leading cryptocurrencies substantiates the grown market structure and greater absorption capacity of the sector.

Consolidation with no clear direction

Bitcoin may have largely recovered from the October crash, but for months its price has lingered in a volatile sideways trend with no clear direction. Neither the sharp rise in the gold price nor the latest correction of gold had any tangible impact on the price of Bitcoin. Even net inflows into Bitcoin ETFs have stagnated lately. Given growing expectations of further interest rate cuts by the Fed, fresh capital is likely to flow into the market, but we should not expect any more substantial price reactions in the short term. Overall, the phase of consolidation is likely to last for a prolonged period of time.

Fig. 11: October 10 market crash

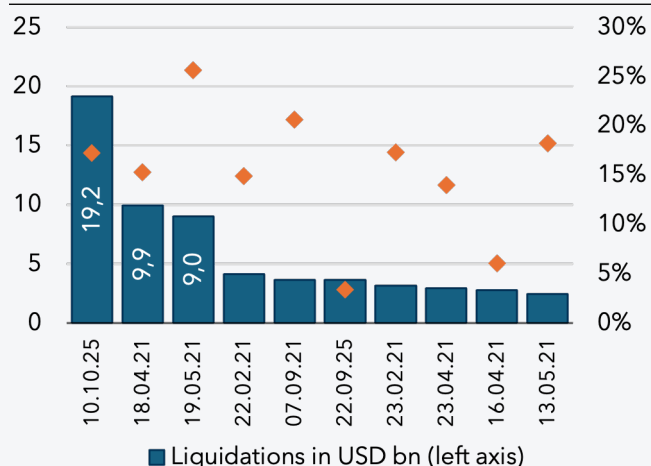
Price performance of selected cryptocurrencies



Note: The chart shows price performance in 5-minute intervals.
Source: Tradingview, smzh ag.

Fig. 12: The largest liquidation events

Liquidations according to scope and price amplitude (Top 10)



Note: The chart shows the largest liquidation events across the key cryptocurrencies. It captures all leveraged positions on the leading exchanges, including Binance, OKX and Bybit.
Source: coinglass, smzh ag.

Real Estate

- Prices for investment properties are rising again after a two-year correction.
- Banks are expected to tangibly loosen lending standards in the coming year.
- This should significantly increase momentum on the transaction market.

Prices for investment properties on the rise again

While prices for owner-occupied residential property have continued their upward trend of recent years almost uninterrupted, transaction indices for investment properties have been in a sideways movement or a correction since the SNB's interest rate hike in 2022. In the meantime, however, prices in this segment are also rising again.

The current low interest rate environment in Switzerland, characterized by a key rate of 0% and further declining long-term bond yields, is enhancing the attractiveness of real estate investments for institutional investors. This is reflected in the continued high level of activity in the capital market. The number and volume of capital increases are set to remain high through the end of the year. It is also worth mentioning that not only the residential sector but also funds and investment groups focusing on commercial properties are attracting capital inflows again. Overall, these developments indicate growing investor confidence in the Swiss real estate investment market.

New vehicles and a return of bank capacity

One of the main challenges in the investment property market continues to be securing the desired debt financing. Banks remain cautious due to regulatory and macroeconomic requirements, although they are considerably less restrictive than they were a year ago. Signs of normalization are evident and are expected to continue in the coming year, on the one hand thanks to the ongoing low interest rate environment. On the

other hand, the planned abolition of the imputed rental value, which will come into effect no earlier than 2028, could facilitate lending again through higher amortization rates.

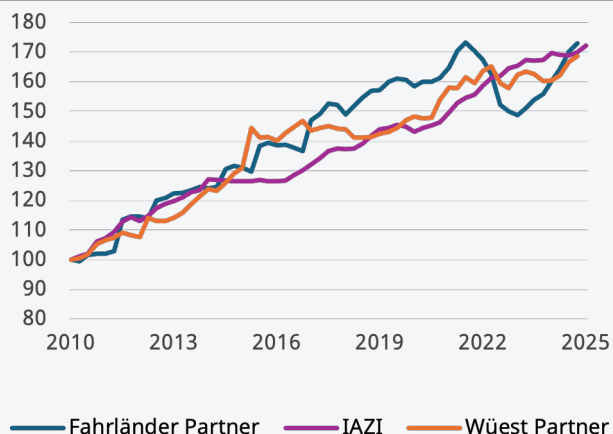
At the same time, alternative financing vehicles are increasingly emerging to fill the resulting gap. In addition to the mezzanine funds that have emerged in recent years, the Empira Group, for example, has launched a new investment group that is investing around CHF 250 million of pension assets in mortgages using a whole-loan approach, with a maximum loan-to-value ratio of 80 percent of the market value. Due to the low interest rate environment, other institutional investors, especially pension funds, are also likely to expand their activities in the mortgage market in search of stable cash flow yields.

Outlook remains positive

The expected easing of lending standards and an increasing willingness of market participants to pay higher prices are not only causing prices to rise further, but transaction activity is also expected to gain significant momentum. Direct investments in investment properties therefore remain attractive.

Fig. 13: Prices for investment properties are rising again

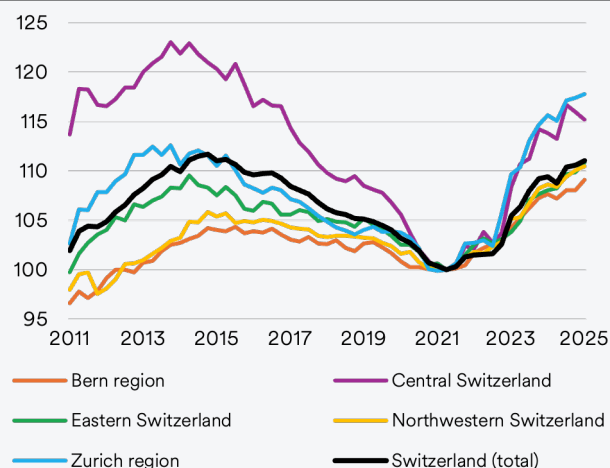
Transaction price indices by provider (Q3 2010 = 100)



Source: SNB, Wüest Partner, Fahrländer Partner, IAZI, smzh ag.

Fig. 14: Asking rents remain high

Asking rent price index by region (Q4 2021 = 100)



Source: SNB, Wüest Partner, smzh ag.



smzh for you

Your Partner for Tailored Financial Services

- Personalized investment advisory: Customized, independent, and tailored to your unique life stages and financial goals.
- Holistic approach: Crafting and executing an investment strategy that aligns seamlessly with your comprehensive wealth plan.
- Portfolio optimization: Continuous review and adjustment of your portfolio in line with our House View to effectively achieve your financial objectives.
- Transparency and oversight: Regular assessments of your risk profile, investment strategy, and cost structure to ensure clarity and control.



Call us on
+41 43 355 44 55
or make an appointment
online

About us

smzh ag is an independent financial services provider that offers its clients comprehensive, transparent and sustainable advice in the areas of finance & investments, pensions & insurance, mortgages & real estate and tax & law.

Visit us in

Arosa • Aarau • Baden • Basel • Bern • Buchs SG • Chur • Frauenfeld • Luzern • Pfäffikon SZ • St. Gallen • Sursee • Zürich



smzh ag
Tödistrasse 53, CH-8002 Zürich
+41 43 355 44 55
contact@smzh.ch
www.smzh.ch

Disclaimer: This publication constitutes marketing material and is not the result of independent financial analysis. Therefore, it is not subject to the legal requirements regarding the independence of financial analysis. The information and opinions contained in this publication were produced by smzh ag at the time of writing and are subject to change without notice. This publication is for informational purposes only and does not constitute an offer or solicitation by smzh ag or on its behalf to make an investment. The statements and comments reflect the current views of the authors but may differ from the opinions of other entities within smzh ag or other third parties. The services and/or products mentioned in this publication may not be suitable for all recipients and may not be available in all countries. Clients of smzh ag are advised to contact the local unit of smzh ag if they wish to obtain information about the services and/or products offered in the respective country. This publication has been prepared without regard to the objectives, financial situation, or needs of any particular investor. Before entering into any transaction, an investor should consider whether it is suitable for their personal circumstances and objectives. The information contained in this publication does not constitute investment, legal, accounting, or tax advice, nor does it represent a guarantee that an investment or investment strategy is suitable or appropriate for an investor's specific circumstances; it is also not a personal recommendation for any particular investor. smzh ag recommends that all investors seek independent professional advice regarding the respective financial risks as well as the legal, regulatory, credit, tax, and accounting consequences. Past performance of an investment is not a reliable indicator of its future performance. Performance forecasts are not a reliable indicator of future results. The investor may incur losses. Although the information and data contained in this publication are obtained from sources believed to be reliable, no representation is made as to their accuracy or completeness. smzh ag, its subsidiaries, and affiliates disclaim any liability for losses resulting from the use of this publication. This publication may only be distributed in countries where its distribution is legally permitted. The information contained herein is not intended for persons from jurisdictions that prohibit such publications (due to the nationality of the person, their residence, or other reasons).

© 2025 smzh ag.

Editorial deadline: 29 October 2025